

AgOTC Agriculture Ocean Transportation Coalition

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FROM THE SECRETARY
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February 12, 2004

p4-03

The Honorable Steven R. Blust
Chairman
Federal Maritime Commission
800 North Capitol Street, NW
Suite 1000
Washington, DC 20573

Dear Chairman Blust:

This letter is written on behalf of the Agriculture Ocean Transportation Coalition cited by the *Journal of Commerce* as the "voice of US agricultural exports in ocean transportation policy."

Agriculture constitutes the largest US export commodity by volume and by value. It is the primary positive contributor to the US balance of trade equation. US agriculture remains competitive in foreign markets due to the efficiency of production and quality of the products, but even these advantages are not sufficient to maintain foreign market share if ocean transportation services cannot deliver our ag product to foreign customers in the most cost competitive manner.

The "Controlled Carrier" provisions of the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 are, we believe, contrary to the interests of US agriculture, US taxpayers and to the US economy. By restricting the ability of certain major ocean carriers to provide the most competitively priced ocean transportation services, US agriculture exporters are limited in their ability to compete in the foreign marketplace. It is ironic that the only conceivable beneficiaries of the controlled carrier statutes are other foreign steamship lines, as there are not any major US steamship lines in the primary most international trades of importance to US agriculture exports. This is particularly injurious to US agriculture as the steamship lines most constrained by this provision are the

ones which serve the fastest growing international market for US agricultural exports.

We urge you to exempt Cosco and China Shipping line from this antiquated, costly, counterproductive provision.

Sincerely,

A handwritten signature in black ink, appearing to read 'P. Friedmann', followed by a horizontal line.

Peter Friedmann
Executive Director
Agriculture Ocean Transportation
Coalition

Copy: Joseph E. Brennan, Commissioner
Harold J. Creel, Jr., Commissioner
Rebecca F. Dye, Commissioner
A. Paul Anderson, Commissioner